

Before the
FEDERAL MARITIME COMMISSION
Washington, D.C. 20573

Docket No. 24-12

20230930-DK-BUTTERFLY-1, INC. f/k/a BED BATH & BEYOND INC.,

Complainant,

v.

**EVERGREEN LINE JOINT SERVICE AGREEMENT (FMC#011982) consisting of
EVERGREEN MARINE CORP. (TAIWAN) LTD., EVERGREEN MARINE (UK)
LIMITED, ITALIA MARITTIMA SpA, EVERGREEN MARINE (HONG KONG) LTD.,
AND EVERGREEN MARINE (SINGAPORE) PTE. LTD.,**

Respondents.

**COMPLAINANT'S RESPONSE IN OPPOSITION TO RESPONDENTS' MOTION TO
PERMIT SUPPLEMENTATION**

Complainant 20230930-DK-Butterfly-1, Inc., formerly known as Bed Bath & Beyond Inc. (“BBBY” or “Complainant”), respectfully submits this response in opposition to the Motion to Permit Supplementation (the “Motion”) filed September 25, 2026 by Respondents Evergreen Line Joint Service Agreement, Evergreen Marine Corp. (Taiwan) Ltd., Evergreen Marine (UK) Limited, Italia Marittima S.p.A., Evergreen Marine (Hong Kong) Ltd., and Evergreen Marine (Singapore) Pte. Ltd. (collectively, “Evergreen”). The Motion should be denied.

PRELIMINARY STATEMENT

Four months after filing its portion of the Joint Prehearing Statement, Evergreen asks to reopen expert discovery, to extend the prehearing process into 2027, and to have the Presiding Officer compel BBBY to disclose confidential settlement information that Evergreen never demanded during discovery. Its stated justification is that BBBY’s August 14, 2026, filing in a different proceeding revealed a “double dipping” problem of which Evergreen could not previously have known. Motion ¶¶ 6, 16–18. Evergreen’s own Motion refutes that premise. By its account, Evergreen “discovered” the alleged cross-docket overlap *before* it served its Requests for Admission on September 30, 2025, *id.* ¶¶ 6–7; it knew that Yang Ming and OOCL had moved on the same theory in November and December 2025, *id.* ¶ 10; and it knew of both Administrative Law Judge Crovella’s abeyance order and the Initial Decision in Docket No. 23-02 before filing the Joint Prehearing Statement on May 18, 2026, *id.* ¶¶ 11–13. Nothing BBBY filed in Docket No. 23-10 concerns Evergreen’s service contracts, its shortfall, or the record of this proceeding.

The Motion fails for five independent reasons. *First*, Evergreen has not shown good cause, because the information on which it relies is neither new nor specific to this case. *Second*, any question about cross-listed replacement shipments goes to the quantum of reparations, not liability, and can be addressed after liability is determined, exactly as the Presiding Officer did in Docket No. 23-10. *Third*, the issue Evergreen identifies is arithmetic that requires no new expert opinion.

Fourth, Evergreen’s remaining assertions are unsupported or were known to it long ago. *Fifth*, Evergreen’s demand for settlement information has no procedural basis, is untimely, and seeks information that is irrelevant and protected.

ARGUMENT

I. Evergreen Has Not Shown Good Cause, Because Nothing on Which It Relies Is New.

Evergreen invokes Rule 210(c), under which the Presiding Officer “may, for good cause shown, permit a party to introduce facts or argue points of law outside the scope of the facts and law outlined in the prehearing statement.” 46 C.F.R. § 502.210(c). It also invokes Rule 102(a), Motion ¶ 25, but that rule requires a motion to enlarge time to “be received at least seven (7) days before the scheduled filing date,” and a request made after that date “will only be considered when exceptional circumstances are shown or as justice may require.” 46 C.F.R. § 502.102(a)–(b). Where the Commission’s rules are silent, the Federal Rules of Civil Procedure guide the analysis, *id.* § 502.12, and under those rules the “good cause” standard “primarily considers the diligence of the party seeking the amendment.” *Johnson v. Mammoth Recreations, Inc.*, 975 F.2d 604, 609 (9th Cir. 1992). Evergreen shows neither diligence nor exceptional circumstances.

A. Evergreen knew of the alleged overlap long before the Joint Prehearing Statement.

The Motion’s own chronology defeats it. Evergreen states that, “[b]ased on the information set forth in BBY’s Appendices in this and other cases, Evergreen’s counsel discovered that BBY is claiming reparations for excess freight costs under many of the same bills of lading and for the same containers as alleged in at least two other matters.” Motion ¶ 6. It then served approximately 380 Requests for Admission on that exact subject on September 30, 2025, *id.* ¶ 7, the last day to serve written discovery. *20230930-DK-Butterfly-I, Inc. v. Evergreen Line Joint Serv. Agreement*, FMC Docket No. 24-12 (FMC ALJ Sept. 17, 2025) (Third Amended Scheduling

Order), 2025 WL 2695728, at *1. Over a month later, in November 2025, Yang Ming moved to reopen the record in Docket No. 23-10, asserting that “the lion’s share of the bills of lading” claimed there were “identical” to those claimed in this proceeding. *Bed Bath & Beyond Inc. v. Yang Ming Marine Transp. Corp.*, FMC Docket No. 23-10 (FMC ALJ July 16, 2026) 2026 WL 2102028, at *1 (the “YM Supplementation Order”); Motion ¶ 10. Discovery in this proceeding remained open for months after that, until January 16, 2026, and Evergreen’s supplemental expert reports were not due until another month later, February 20, 2026. Fifth Amended Scheduling Order, 2025 WL 3435841, at *1 (FMC ALJ Nov. 18, 2025); Sixth Amended Scheduling Order, 2025 WL 4070007, at *3 (FMC ALJ Jan. 16, 2026). Thus, Evergreen completed expert discovery and filed its portion of the Joint Prehearing Statement with all of this in hand. Motion ¶ 13.

The Presiding Officer’s order in a different case has nothing to do with this proceeding. As Judge Crovella directed there, BBBY’s response in Docket No. 23-10 compared Yang Ming’s Appendix A-1 with OOCL’s Appendix B-1; it said nothing about Evergreen’s Appendices A-1 or A-5. Motion Ex. D at 1–2. The supplemental Appendices A-1(c) through A-4(c) were prepared for Docket No. 23-10 from “shipment data already in the record of” that proceeding, *id.* at 3, and BBBY has not offered them here. Evergreen’s experts need not rebut charts that are not part of this record.

Judge Crovella refused to reopen expert discovery in Docket No. 23-10 for precisely this reason. Even while directing BBBY to answer targeted questions, she held that “[a] larger reopening of the record . . . is not warranted here, because Respondent has already had ample opportunity to investigate the McCown expert report offered in this proceeding, including through deposing Mr. McCown.” YM Supplementation Order, 2026 WL 2102028, at *4. Chief Judge Wirth likewise denied OOCL’s motion to reopen discovery as untimely because “OOCL had the

expert's report and deposed the expert during discovery.” *20230930-DK-Butterfly-I, Inc. v. Orient Overseas Container Line Ltd.*, FMC Docket No. 23-02 (FMC ALJ Apr. 24, 2026) (Initial Decision), 2026 WL 1285696, at *13 (“*BBBY v. OOCL*”). Evergreen had the same opportunity here. *See* 46 C.F.R. § 502.141(e)(2)(ii)(B) (discovery may be limited where “[t]he party seeking discovery has had ample opportunity to obtain the information by discovery in the action”).¹

B. BBBY’s responses to Evergreen’s Requests for Admission were accurate and were never challenged.

Evergreen’s charge that BBBY’s responses were “misleading,” Motion ¶ 9, misreads them. BBBY never denied that replacement shipments might appear in more than one docket. Each response admitted that BBBY seeks the incremental cost of replacing Evergreen’s shortfall based on “cargo actually shipped by Complainant with NVOCCs on the spot market on the same port pairs and in the same relevant time period”; denied that BBBY is “seeking improper double-damages”; and stated that, “to the extent that any NVOCC shipment results in a judgment in Complainant’s favor as against another Ocean Carrier, Complainant does not seek reparations from Evergreen for that Container, but has provided Evergreen with substantial evidence to support alternative containers shipped by such NVOCCs.” Motion Ex. B ¶ 830. That is what the Commission’s rules require: “when good faith requires that a party qualify an answer or deny only a part of a matter, the answer must specify the part admitted and qualify or deny the rest.” 46 C.F.R. § 502.147(a)(4). The responses placed Evergreen on express notice of potential overlap.

If Evergreen believed those responses deficient, its remedy was a motion “for a determination of the sufficiency of an answer.” *Id.* § 502.147(a)(6). It has filed none in the eleven months since. Nor has any duty to supplement arisen, because that duty attaches only where a

¹ Judge Crovella in *Nielsen & Bainbridge, LLC v. OOCL*, FMC Docket No. 25-31, just yesterday denied a motion by respondents therein to dismiss reparations, noting the tardiness of the motion and a lack of ruling on liability such that “a preemptive ruling on what NBG may seek in reparations in this case or other cases is not supported”

response is “incomplete or incorrect” and the corrective information “has not otherwise been made known to the other parties during the discovery process or in written communication.” *Id.* § 502.141(k)(1). BBY’s responses remain accurate, and the underlying container-level data has been in Evergreen’s possession throughout.

II. Supplementation Is Premature, Because Any Overlap Concerns the Amount of Reparations, Not Liability.

Evergreen concedes that, when Yang Ming raised the same issue, Judge Crovella held the motion “in abeyance pending a determination of liability.” Motion ¶ 11. Her reasoning applies here: “Until I determine liability it is premature to consider damages calculations. Reopening the record at this point . . . prior to a liability determination, is not efficient.” *Bed Bath & Beyond Inc. v. Yang Ming Marine Transp. Corp.*, FMC Docket No. 23-10 (FMC ALJ Dec. 12, 2025) 2025 WL 3679118, at *2. Even after reparations were awarded in Docket No. 23-02, she treated potential overlap as a matter that “may be relevant to calculations in the current proceeding once a determination on the merits is made.” YM Supplementation Order, 2026 WL 2102028, at *3.

This sequencing reflects the governing law and compels denial of the Motion. “From a liability perspective, the question is whether a respondent failed to carry containers in violation of the Shipping Act. If so, at the reparations stage, the question is what reparations amount would provide compensation with a reasonable degree of certainty.” *BBY v. OOCL*, 2026 WL 1285696, at *163. Because “the violation is based on the number of containers out of the MQC that a respondent failed to transport . . . not on the journey of a particular container,” *Id.* at *162, whether a given replacement shipment also appears in another docket has no bearing on liability.

Nothing in the Motion prevents the Presiding Officer from proceeding as planned. The Joint Prehearing Statement was ordered so that the Presiding Officer could “ascertain the extent of any genuine issues of material fact and determine whether the case should proceed with briefing

or to a hearing.” Seventh Amended Scheduling Order, 2026 WL 1126487, at *1 (FMC ALJ Apr. 15, 2026); *see* Sixth Amended Scheduling Order, 2025 WL 4070007, at *2. The Joint Prehearing Statement is thus not merits briefing; it is the vehicle for deciding how, and when, the merits will be presented. No briefing schedule or prehearing conference has yet been set, and the only filings since the Joint Prehearing Statement are a notice of withdrawal of appearance and the Motion itself. Dkt. Nos. 69–71. The Presiding Officer may decide whether to hold a hearing, determine liability, and address the calculation of reparations thereafter. *See* 46 C.F.R. § 502.25(b)(3)–(4). Should the overlap question ever require attention, the Presiding Officer may take the same targeted step Judge Crovella took, directing specific written responses and charts, Motion ¶ 15, without reopening expert discovery.

Deferral is also more efficient because the relevant facts are still developing. The Initial Decision in Docket No. 23-02 is subject to pending exceptions and is therefore “inoperative until the Commission determines the matter,” 46 C.F.R. § 502.227(a)(5); no Initial Decision has issued in Docket No. 23-10; and no payment has been made on any award. As Chief Judge Wirth explained, “there has not been any recovery in any of the BBY cases before the Commission, so there is no risk of double recovery.” *BBBY v. OOCL*, 2026 WL 1285696, at *13.

III. The Overlap Evergreen Identifies Is Arithmetic, Not a Subject for New Expert Opinion.

Evergreen’s asserted need for supplemental expert reports, Motion ¶¶ 18, 22, rests on a task that requires no expertise: comparing bill-of-lading numbers across appendices and summing FEUs. Evergreen performed that comparison itself before serving its Requests for Admission. *Id.* ¶¶ 6–7. Judge Crovella addressed the identical question through nine written requests for information and a ten-page discussion, not through new expert reports. *Id.* ¶ 15; YM Supplementation Order, 2026 WL 2102028, at *3–4. If the Presiding Officer concludes that the

issue warrants attention, targeted supplemental submissions would suffice. And, as BBY has told Evergreen from the outset, the record contains *substantial additional NVOCC replacement shipments* should any be required. Motion Ex. B ¶ 830.

IV. Evergreen's Remaining Assertions Do Not Justify Reopening.

Evergreen falsely asserts that “the combined total FEU of BBY's shortfall claims exceeds the total FEU BBY shipped with NVOCCs on the spot market!” Motion ¶ 20. It cites no document, calculation, or exhibit, and offers no figures. A motion must state “the facts claimed to constitute the grounds supporting the relief requested.” 46 C.F.R. § 502.69(e). An unsupported exclamation does not suffice. In any event, BBY's shortfall claim against each carrier is bounded by that carrier's own shortfall, and the replacement shipments serve only to measure cost; that data “is not specific to any particular carrier.” *BBY v. OOCL*, 2026 WL 1285696, at *12.

To be clear: for the 2020 Shipping Year BBY has claimed shortfalls of 1,749.3 FEUs in filed litigations but has 2,165.70 FEUs in NVO/FF shipments to draw damages from; for the 2021 Shipping Year BBY has claimed shortfalls of 4,375.87 FEUs but has 4,484.10 FEUs in NVO/FF shipments to draw damages from. Thus, Evergreen is patently incorrect. Evergreen appears to have repurposed arithmetic from BBY's submission in Docket No. 23-10, which showed that OOCL's and Yang Ming's combined 2021 shortfalls ($1,827.50 + 823.00 = 2,650.50$ FEU) exceed the unique replacement shipments *listed in those two proceedings' appendices* ($1,363.875 + 822.375 = 2,186.25$ FEU), Motion Ex. D at 10; but those appendices are not a census of BBY's total NVOCC shipments. Each was built to list only enough shipments to match the respondent's shortfall (in Docket No. 23-02, 625.125 FEU against a claimed 624.20 FEU shortfall for 2020, and 1,363.875 FEU against a claimed 1,363.26 FEU shortfall for 2021), and BBY expressly *told* the Presiding Officer in Docket No. 23-10 that its supplemental appendix “lists only enough non-overlapping NVO/FF shipments to reach that cap” and “does not exhaust the qualifying shipments

in the record.” *BBBY v. OOCL*, Initial Decision at 102 (¶¶ 347–48); Motion Ex. D at 8–9. The approximately 463 FEU gap is simply a result of Chief Judge Wirth only awarding reparations for 1,363.875 FEUs out of the 1,827.50 FEUs (a difference of ~463 FEUs) which BBB had submitted (which themselves were only a small portion of the total spot market NVO shipments in BBB’s records).

Evergreen next relies on testimony by BBBY’s plan administrator, Michael Goldberg, that no cargo was left behind at origin. Motion ¶ 21. That testimony was given in this proceeding before the close of discovery, and Evergreen had an express opportunity to address BBBY’s corporate testimony in supplemental expert reports due February 20, 2026. Sixth Amended Scheduling Order, 2025 WL 4070007, at *3. The testimony is also beside the point. BBBY does not contend that its cargo went unshipped; it contends that BBBY had to ship that cargo by more expensive means. Chief Judge Wirth recognized that it is “not only possible, but likely,” that when BBBY could not ship a container under one carrier’s contract, it would try other carriers “before resorting to an NVO/FF.” *BBBY v. OOCL*, 2026 WL 1285696, at *162. Testimony that the cargo moved does not show that Evergreen honored its commitments.

V. The Presiding Officer Should Not Compel Disclosure of Confidential Settlement Information.

Evergreen asks that, “rather than reopen discovery,” BBBY be ordered to identify each carrier with which it settled, the FEU shortfall “claimed/alleged,” and the contract year. Motion ¶ 23. That is a discovery request by another name, and it should be denied for three reasons.

First, Evergreen makes no showing of entitlement. It cites no authority permitting the Presiding Officer to propound discovery on a party’s behalf after discovery has closed. The Presiding Officer’s general authority to regulate the proceeding, 46 C.F.R. § 502.25(b)(3)–(4), does not convert a party’s untimely request into an order of the tribunal, and ALJ Crovella’s

requests concerned the tribunal's own record, not a party's confidential settlements. YM Supplementation Order, 2026 WL 2102028, at *3–4.

Second, Evergreen had every opportunity to seek this information and did not. Its Motion confirms that it was aware of “matters settled confidentially” when it “discovered” the alleged overlap, before it served its Requests for Admission. Motion ¶ 6. The deadline to serve written discovery was September 30, 2025. Third Amended Scheduling Order, 2025 WL 2695728, at *1. Evergreen knew how to seek relief when it wanted discovery, *id.* (referencing “Respondent’s motion to compel”), yet it never sought settlement information or sought to compel such information during discovery.

Third, the information is irrelevant and protected. The bankruptcy report on which Evergreen relies states only that the Plan Administrator “has settled claims against numerous shippers without formal litigation, including Ocean Network Express (ONE), Hapag Lloyd, and COSCO Shipping Lines.” Motion Ex. A at n.14. It does not say the specific subject matter of those settlements. Evergreen’s proposed requests would not supply relevant information either: a carrier’s name and an FEU figure “claimed” in a pre-litigation negotiation reveal ***nothing*** about the subject matter of the settlement, let alone specific lanes, whether any payment related to shortfall at all, or any particular replacement shipment. Because each carrier’s shortfall is a separate injury under a separate service commitment, *BBBY v. OOCL*, 2026 WL 1285696, at *162, a compromise with a different carrier cannot reduce Evergreen’s liability for its own. Courts, citing “the strong public policy of favoring settlements,” require “some particularized showing of a likelihood that admissible evidence will be generated” before permitting discovery of settlement terms. *Bottaro v. Hatton Assocs.*, 96 F.R.D. 158, 160 (E.D.N.Y. 1982); *see Doe v. Methacton Sch. Dist.*, 164 F.R.D. 175, 176–77 (E.D. Pa. 1995) (denying discovery of confidential settlement where

movant offered only a “broad assertion” of relevance to damages); *cf.* Fed. R. Evid. 408. Evergreen has made no showing at all.

VI. BBY’s Scheduling Position Was Conditional, and the October 15 Deadline Should Be Rejected.

Evergreen accurately reports that BBY views supplementation “as an issue of damages that can be held in abeyance pending a determination of liability.” Motion ¶ 30. BBY’s agreement to the proposed dates extended *only to supplemental expert reports, depositions of Evergreen’s experts on any such reports, and supplementation of the Joint Prehearing Statement*, and only “if the Presiding Officer decides that supplementation should be permitted now.” *Id.* BBY *did not* agree to the October 15, 2026, deadline for settlement information, which it opposes for the reasons stated in the previous section. That deadline would also afford BBY less time than the thirty days the Commission’s rules provide to answer interrogatories and requests for admission. 46 C.F.R. §§ 502.145(b)(2), 502.147(a)(3). Further, should any supplementation be permitted, BBY respectfully requests leave to serve responsive expert reports and a responsive supplemental prehearing statement on a reciprocal schedule.

CONCLUSION

For the foregoing reasons, BBY respectfully requests that the Presiding Officer deny the Motion in its entirety. In the alternative, BBY requests that the Presiding Officer hold the Motion in abeyance pending a determination of liability, deny the request for settlement information, and afford BBY a reciprocal opportunity to respond to any supplementation permitted.

Dated: October 2, 2026

Respectfully submitted,

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CERTIFICATE OF SERVICE

I hereby certify that I have this day caused to be served the foregoing document upon Respondents Evergreen Line Joint Service Agreement, Evergreen Marine Corp. (Taiwan) Ltd., Evergreen Marine (UK) Limited, Italia Marittima S.p.A., Evergreen Marine (Hong Kong) Ltd., and Evergreen Marine (Singapore) Pte. Ltd. by emailing a copy to their counsel of record listed below:

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